CedarTech PLC — Annual Report and Accounts 2022

CedarTech PLC is a United Kingdom-incorporated industrial software company. This prototype annual report is an original research fixture.

Registered office: 17 King William Street, London EC4N 7BL.

Management continues to monitor the group overview and statutory information in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for the group overview and statutory information.

Internal controls related to the group overview and statutory information are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for the group overview and statutory information.

Forward-looking statements concerning the group overview and statutory information are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for the group overview and statutory information.

The company believes that disclosure about the group overview and statutory information is material to an understanding of results of operations and financial condition. Additional narrative item 4 for the group overview and statutory information.

Comparability of the group overview and statutory information may be affected by acquisitions, divestitures, foreign-currency translation, and changes in accounting estimates. Additional narrative item 5 for the group overview and statutory information.

Unless otherwise indicated, figures discussing the group overview and statutory information are presented in millions of local reporting currency. Additional narrative item 6 for the group overview and statutory information.

Strategic Report

CedarTech sells plant-operations software and related services.

The Chief Executive Officer is Priya Raman. The Chief Financial Officer is Henrik Olsen.

Revenue is recognized over the contract term for subscription licenses and at a point in time for perpetual licenses.

Management continues to monitor strategy, software subscriptions, and leadership in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for strategy, software subscriptions, and leadership.

Internal controls related to strategy, software subscriptions, and leadership are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for strategy, software subscriptions, and leadership.

Forward-looking statements concerning strategy, software subscriptions, and leadership are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for strategy, software subscriptions, and leadership.

The company believes that disclosure about strategy, software subscriptions, and leadership is material to an understanding of results of operations and financial condition. Additional narrative item 4 for strategy, software subscriptions, and leadership.

Comparability of strategy, software subscriptions, and leadership may be affected by acquisitions, divestitures, foreign-currency translation, and changes in accounting estimates. Additional narrative item 5 for strategy, software subscriptions, and leadership.

Unless otherwise indicated, figures discussing strategy, software subscriptions, and leadership are presented in millions of local reporting currency. Additional narrative item 6 for strategy, software subscriptions, and leadership.

Financial Highlights

For the year ended 31 December 2022, CedarTech reported revenue of £2.76 billion and operating income of £414 million.

Free cash flow was £301 million. Recurring subscription revenue was 81% of total revenue.

[TABLE] Metric | 2022 | 2021

Revenue (£ millions) | 2,760 | 2,410

Operating income | 414 | 355

Net income | 328 | 271

Recurring revenue % | 81% | 77% [/TABLE]

Management continues to monitor financial highlights and recurring revenue in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for financial highlights and recurring revenue.

Internal controls related to financial highlights and recurring revenue are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for financial highlights and recurring revenue.

Forward-looking statements concerning financial highlights and recurring revenue are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for financial highlights and recurring revenue.

The company believes that disclosure about financial highlights and recurring revenue is material to an understanding of results of operations and financial condition. Additional narrative item 4 for financial highlights and recurring revenue.

Comparability of financial highlights and recurring revenue may be affected by acquisitions, divestitures, foreign-currency translation, and changes in accounting estimates. Additional narrative item 5 for financial highlights and recurring revenue.

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People

CedarTech employed 9,860 people at 31 December 2022. Research and development headcount was 3,140.

The company opened a new engineering centre in Manchester during the year.

Management continues to monitor people, culture, and engineering centres in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for people, culture, and engineering centres.

Internal controls related to people, culture, and engineering centres are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for people, culture, and engineering centres.

Forward-looking statements concerning people, culture, and engineering centres are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for people, culture, and engineering centres.

The company believes that disclosure about people, culture, and engineering centres is material to an understanding of results of operations and financial condition. Additional narrative item 4 for people, culture, and engineering centres.

Comparability of people, culture, and engineering centres may be affected by acquisitions, divestitures, foreign-currency translation, and changes in accounting estimates. Additional narrative item 5 for people, culture, and engineering centres.

Unless otherwise indicated, figures discussing people, culture, and engineering centres are presented in millions of local reporting currency. Additional narrative item 6 for people, culture, and engineering centres.